

CHAPTER 14

When to Change Your Asset Allocation

KEY CONCEPTS

- Asset allocation decisions are typically not permanent.
- Life changes lead to asset allocation changes.
- Too much risk in a portfolio should be managed downward.
- Estate planning needs eventually set asset allocation.

Asset allocation changes can take two forms. The first is based on changing needs, and the second is the result of an assessment mistake.

Asset allocation changes based on changing needs should be done only after careful consideration. Adjustments are needed as we go through life with the intent to balance our assets to our changing long-term liabilities. Most of the time these changing liabilities are our own, although some may belong to people who occasionally rely on us for financial help.

We have all made an asset allocation mistake during our lives. These mistakes tend to manifest themselves in a bull market or bear market when we realize that our portfolio is not in line with who we are emotionally. When an asset allocation mistake becomes obvious, an adjustment should be made to bring the portfolio in line with our true feelings. These changes should be controlled rather than made as the result of a knee-jerk reaction. Haphazard asset allocation changes are not in your best interests because they are mostly driven by fear or greed.

THE THREE REASONS TO CHANGE YOUR ALLOCATION

Changing your asset allocation is a major decision and can be compared to changing careers. There are several good reasons to change your asset allocation along life's journey. These changes require deep thinking and even-handed judgment, and they should not be made in a time of duress.